

25STCV09872 25STCV09872

County: los-angeles

Division: Civil Law and Motion

Department: 311

Hearing date: 2026-06-24

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Case Number: 25STCV09872 Hearing Date: June 24, 2026 Dept: 311

SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311 (formerly 19)

Tentative

Ruling

25STCV09872

JCZ

CONCRETE, LLC vs LINMEYER CONSULTING AND DEVELOPMENT, INC., et al.

June

24, 2026

8:30

AM

NATURE OF PROCEEDINGS:

PLAINTIFF'S MOTION TO STRIKE TO ANSWER OF LINMEYER CONSULTING, INC. AND MOTION
TO DISMISS CROSS-COMPLAINT OF LINMEYER DEVELOPMENT, INC.

RULING:

The Court continues the Motion

hearing to a date to be determined at the hearing scheduled on June 24, 2026,

at 8:30 a.m., in Department 311.

On December 22, 2025,

Defendant filed a Notice of Bankruptcy Stay. "The automatic stay is

self-executing and is effective upon filing the bankruptcy petition." (Shaoxing County Huayue Import & Export

v. Bhaumik (2011) 191 Cal.App.4th 1189, 1196. Accord, Valencia v. Rodriguez (2001) 87 Cal.App.4th 1222, 1226.)

I.

BACKGROUND

On April 3, 2025, JCZ

CONCRETE, LLC (Plaintiff) filed a Complaint against LINMEYER CONSULTING AND DEVELOPMENT,

INC. (Defendant), listing these Causes of Action:

1.

BREACH OF CONTRACT;

2.

SERVICES RENDERED;

3.

ACCOUNT STATED;

4.

OPEN BOOK ACCOUNT; and

5.

FORECLOSURE ON MECHANIC'S LIEN.

Plaintiff alleges that Defendant

breached an oral agreement to pay for Plaintiff's services rendered at a

construction project located at 2849 Adkins Ave., Los Angeles.

On November 12, 2025, Plaintiff

filed the Motion to Strike Defendant's Answer, and to dismiss its

Cross-Complaint, on the ground that it is a suspended corporation due to

nonpayment

of taxes.

II.

LEGAL STANDARD

Revenue and Taxation Code

"Section 23301 provides, in relevant part, 'the corporate powers, rights and

privileges of a domestic taxpayer may be suspended' if it does not pay its

taxes. The suspension of the corporate powers, rights, and privileges means a suspended corporation cannot sue or defend a lawsuit while its taxes remain unpaid.” (Kaufman & Broad

Communities, Inc. v. Performance Plastering, Inc. (2006) 136 Cal.App.4th 212, 217-218.)

“ [A] plea of lack of

capacity of a corporation to maintain an action by reason of a suspension of corporate powers for nonpayment of its taxes ‘is a plea in abatement ... which is not favored in law, is to be strictly construed and must be supported by facts

warranting the abatement’ at the time of the plea.’ ” (V & P Trading Co., Inc. v. United Charter, LLC (2012) 212 Cal.App.4th 126, 133.)

There may be an abuse of

discretion where judges do not allow a suspended corporation time to revive a corporation’s good standing, either pursuant to parties’ requests, or on the court’s own motion. (Cadle Co. v. World

Wide Hospitality Furniture, Inc. (2006) 144 Cal.App.4th 504, 512.) “[T]he

revival of corporate powers during the course of litigation validates earlier

acts occurring prior to judgment, as well as matters occurring postjudgment.” (Ctr.

for Self-Improvement & Cmty. Dev. v. Lennar Corp. (2009) 173

Cal.App.4th 1543, 1553.) “[T]he revival of corporate powers enables the

previously suspended party to proceed with the prosecution or defense of the action." (Ctr. for Self-Improvement & Cmty. Dev.

v. Lennar Corp. (2009) 173 Cal.App.4th 1543, 1553.)

"[A] plaintiff may not

take the defendant's default by virtue of the defendant's inability to defend

due to suspension of corporate powers, where the defendant consummated revival

proceedings upon the grant of a continuance." (Ctr. for Self-Improvement

& Cmty. Dev. v. Lennar Corp. (2009) 173 Cal.App.4th 1543, 1553.)

III.

ANALYSIS

Plaintiff reports that

the Secretary of State website shows that the Defendant corporation has been

suspended by the Franchise Tax Board.

Judicial notice of a

certificate of status of suspension of a corporation, issued by the Secretary

of State, is proper. (See Friends of

Shingle Springs Interchange, Inc. v. Cty. of El Dorado (2011) 200

Cal.App.4th 1470, 1478.)

Here, the Notice of

Bankruptcy Stay effectively delays any ruling on the merits.

IV.

CONCLUSION

The Court continues the Motion

hearing again, pending the Bankruptcy stay.